

Carlos was surprised when the car dealer approved him for the loan, but not surprised when they explained the price of bad credit, a 30 percent interest rate. Carlos knew the interest rate they were offering was extremely high, but he didn't feel he had a choice. He signed the paperwork and left with his new Ford pickup.

Carlos' payments were quite steep. He needed to cut out some other expenses so that he could handle this hefty car payment. He decided, since he was a good driver and hadn't ever been in an accident, he would let his car insurance lapse. This decision turned out to be disastrous. Less than a week after he had stopped making his insurance payments, Carlos got into a collision. The damage to his pickup was extensive and, since he no longer had insurance, he couldn't afford to repair it.

Carlos then stopped making his car payment since he couldn't use his pickup and it was just sitting in his driveway. This didn't stop the reposessor from towing away his vehicle one evening. After the dealer sold his car in an auction, Carlos got stuck with the loan balance minus the auction value received on the Ford. Since the car was almost new, the balance owed was almost the full amount, \$20,000. Since Carlos had just filed for bankruptcy, he wasn't allowed under law to file another bankruptcy for eight more years. This meant that he couldn't get out of paying what he owed on the car.

Carlos wasn't worried. "How," he thought, "can they squeeze blood out of a turnip? I don't have any assets so what can they possibly take away from me?" His answer came the next month when his paycheck was reduced by 25 percent. The auto lender had filed a garnishment against his wages. They legally were able to take away up to one quarter of his paycheck to cover the money owed them. Carlos now realized an important lesson that his bankruptcy hadn't taught him, "Not all money problems will go away."

If Carlos had realized that insurance is a "need" and not a

